SVKM

SVKM'S NMIMS

MUKESH PATEL SCHOOL OF TECHNOLOGY MANAGEMENT & ENGINEERING

MUN SOCIETY

MUMBAI MUN 2026

STUDY GUIDE

CONTINUOUS CRISIS COMMITTEE

CCC

THE LAST BASTION

最後的堡壘



Mumbai MUN'26

Letter from R&D

Dear Delegates,

The Department of Research & Development, MUN Society MPSTME, ecstatically welcomes all of you to the 13th edition of Mumbai MUN! Over the years, R&D has been guided by a singular ethos and vision: to make the Mumbai MUN conference a centre of meaningful discourse and debate on matters that rapidly shape the world we inhabit.

We are primarily tasked with formulating agendas and curating study guides that provide delegates with a comprehensive foundation before the conference. Our guides are the product of months of painstaking, human-driven research and production and are written with a *first-principles*, top-down approach.

Debate over matters of socio-political importance has taken centre stage in student life of late, with varying opinions and belief systems finding themselves continuously questioned. At Mumbai MUN 2026, as reflected by our theme "An Axiom Apart," we encourage delegates to bridge seemingly opposite truths and work together to creatively craft lasting solutions and partnerships.

With the *phare* that is our theme, our curations seek to foster meaningful and thought-provoking conversations on the topics that will define the global dynamics of the ever-changing world we live in. We seek to platform the perspectives that whittle away at the bureaucracy that barricades change.

The goal of any worthwhile MUN conference is to train the citizens of tomorrow to design, ideate, and create equitable world orders. The Research & Development team earnestly hopes Mumbai MUN 2026 will be a stepping stone for delegates to achieve that very goal.

Best wishes,
Department of Research & Development
MUN Society MPSTME.

Contents

Agenda: 'Gudao' - The Lonely Island, Shanghai 1
COMMITTEE OVERVIEW 1
TIMELINE 1
HISTORICAL CONTEXT 4
The Treaty of Nanjing (1842) 4
The Creation of the International Settlement 5
China & The First World War 6
The Warlord Period 7
The Shanghai Massacre & The Anti-Communist Purge 8
The Invasion of Mukden 9
The Kidnapping of Chiang Kai-Shek 10
The Marco Polo Bridge Incident 11
The Battle of Shanghai 12
KEY DIMENSIONS 14
Political-Ideological Dimension 14
The Japanese Military 14
The Chinese Communist Party 18
The Kuomintang 20
Regional Warlords 25
Economic Dimension 26
The Fabi System 26
Socio-Humanitarian Dimension 27
GEOGRAPHY 28
Central Sector: Urban Shanghai 28
Northern Sector 28
Eastern Sector 28
Southern Sector 28
Western Sector 29

Agenda: 'Gudao' - The Lonely Island, Shanghai

COMMITTEE OVERVIEW

Crisis committees differ from the traditional MUN in a variety of ways, the primary ones being the dynamics of debate and the control that individual portfolios offer. Your actions will influence the direction that the committee heads towards, with each double-cross, alliance and stratagem tying into the story through the characters you portray. What the Shanghai Municipal Council aims to achieve is to simulate the historical challenges hitherto unseen. In putting the focus on a relatively obscure historical phenomenon, we aim to highlight how the smallest of conflicts can have a significant impact on the course of events throughout history. Shanghai offers itself as an interesting medium for this venture: the global trade hub today brought back to what some might call its halcyon days, but the city's underground is ever-shifting, proxies battling over opium and silver, gangs running rampant, and at the centre of it all, the Shanghai Municipal Council, tasked with the administration and legislation for a city on the brink. This is the 最後堡壘 (Last Bastion) of the 孤島 (Lonely Island).

TIMELINE

- 4 September 1839- 29 August 1842:The First Opium War fought between the Qing Dynasty and the British Empire following the former's destruction of illicit British opium stockpiles in accordance with the Qing Dynasty's Law. This action by the Qing Dynasty triggered a naval superiority campaign by the British Empire to forcefully open Chinese markets and led to the signing of the Treaty of Nanjing.
- 1842 Treaty of Nanjing- Marked the end of the Opium War - Noted as the first 'unequal treaty' signed by China. Forced China to pay massive indemnities, abolish the Cohong merchant system, which was a guild that held an official monopoly on imports and exports and open 5 new ports.
- 1845–1849: The British, United States and French established foreign enclaves in the city of Shanghai known as the International Settlement. They instituted deep Western influence and economic footholds in China.
- 1850- 1864: The Taiping Rebellion started when Hong Xiuquan mobilised a militant and religious movement among marginalised communities in Guangxi to overthrow the Qing Dynasty. Concluded when the Qing imperial forces, bolstered by provincial militias, successfully recaptured the rebel capital of Nanjing. The devastating 14-year conflict eroded Qing Dynasty central authority.
- 1854: Shanghai Municipal Council Formed - Foreign merchants established a unified merchant-led governing body within the foreign enclaves of the city, which managed infrastructure, police and taxation; this was effectively an autonomous Western-controlled government acting within Shanghai with no relation to the Chinese government.
- 8 October 1856- 24 October 1860 Second Opium War fought between the Chinese, British and French following the controversial boarding of British-registered cargo vessels by Qing dynasty officials in Guangzhou. This incident soon invited the French to join and force treaty revisions upon the Qing Dynasty. Concluded by the ratification of the Treaties of Tianjin (1858) at the

Convention of Peking (now called Beijing), this definitive defeat compelled the Qing government to concede territorial and economic rights.

- 1863: Creation of the International Settlement - The British and American concessions in Shanghai formally merged, creating the International Settlement. This enclave became East Asia's financial centre, operating under Western law insulated from the Chinese Government.

- 1882: Chinese Exclusion Act by the US - Enacted by the United States, this federal law banned the immigration of Chinese workers to the U.S. for 10 years. Driven by racial prejudice and economic nativism, it was the first federal law to outright ban a nationality.

- Sino-French War - Start: 23 August 1884, following the breakdown of diplomatic negotiations and devastating French Naval bombardment of the Qing Dynasty fleet at Fuzhou. End: 9 June 1885, concluded with the ratification of the Treaty of Tianjin. This treaty compelled the Qing government to formally recognise the French protectorate over Annam and Tonkin, cementing French colonial expansion in China.

- 1 August 1894 - 17 August 1895: Sino-Japanese War; Treaty of Shimonoseki. Following weeks of attacks for dominance of the Korean Peninsula, the Qing Chinese and Imperial Japanese troops deployed forces to Korea to suppress a rebellion. The war concluded with the ratification of the Treaty of Shimonoseki. Under the severe terms of this treaty, a defeated Qing government was compelled to recognise total Korean Independence and cede absolute sovereignty over Taiwan, the Penghu Islands and the Liaodong Peninsula to the Japanese Empire.

- 10 October 1911 - 12 February 1912: Xinhai Revolution - This revolution marks the end of the Qing Dynasty, with the main causes being widespread famine and intense anti-Manchu sentiment, as the minority group monopolised political and military power, which catalysed a nationwide military uprising. This uprising formally transitioned the state to a republic.

- 1 January 1912: Formal Establishment of the Republic of China, where the systemic collapse of the Qing dynasty necessitated the immediate formation of a modernised, sovereign government. Dr Sun Yat-sen (Pinyin: Sun Zhongshan) was inaugurated as the Provisional President, officially introducing constitutional republicanism to the Chinese geopolitical landscape. This republican government endured over a decade of fragmentation due to the warlord era, where military leaders of the Beiyang Army, after the death of Yuan Shikai, split into rival factions for control over the Beijing government. Near the end of 1937, the ROC shifted its capital from Nanjing to Chongqing under the threat of an imminent attack from the Imperial Japanese Army.

- 28 July 1914 - 11 November 1918: First World War begins; allied with the US and Great Britain, seeking to reclaim the Shandong territories, China joins the Allied war effort. The Chinese government deployed approximately 140,000 workers (Chinese Labour Corps). The Allies ignored China's contribution to WW1 and disregarded Chinese interests by transferring Shandong directly to Japan.

- 2 February 1915 - 9 May 1915: Yuan Shikai was a prominent military and political leader who served as the first formal president of the Republic of China and negotiated Japan's Twenty-One Demands. Capitalising on the European distraction during WW1, the Japanese Empire issued an ultimatum to secure economic and territorial dominance over China. Yuan conceded to the majority of the demands, which led to massive public outcry and a massive surge in modern Chinese nationalism. The crisis concluded when Yuan accepted a 13-point agreement, which was considered a domestic humiliation shortly before his death in 1916.

- 6 June 1916 -29 December 1928: Warlord period - The death of Yuan Shikai left a massive power vacuum, causing the Beiyang Army to fracture into multiple rival military cliques. This era ended when the Nationalist Party nominally reunified the Chinese State under a central government in 1928.

- 18 January 1919 - 28 June 1919: Treaty of Versailles & May Fourth Movement - Allied powers disregarded China's contribution to the First World War by transferring Shandong to the Japanese Empire, which led to economic pressure and refusal to sign the treaty.

- 1 July 1921: Founding of the CCP - Following the betrayal at the Treaty of Versailles, Chinese intellectuals were driven to adopt Soviet Marxism-Leninism as the viable anti-imperialist framework, which ended when the 1927 Nationalist purge forced the party underground.

- 9 July 1926 - 29 December 1928: Anti-warlord military campaign - The Kuomintang (KMT; Pinyin: Guomindang) and the Communists formed the First United Front to eradicate fractional regional warlords and restore national sovereignty. This campaign ended with the capture of Beijing and state unification in 1928, which was compromised due to the warlord era.

- 12 April 1927: Anti communist purge; Nanjing Decade - Generalissimo Chiang Kai-shek perceived the rapidly growing Communist influence as a threat to his centralised authority. This led to a nationwide purge of Communist operatives. This relative stability of the Nanjing Decade was abruptly ended by the 1937 Japanese invasion.

- 18 September 1931: Mukden Incident - The suspected Japanese Kwantung Army staged a small explosion near a Japanese-owned railway to act as a pretext for invading Chinese territory. This invasion led to the establishment of the puppet state of Manchukuo.

- 19 February 1934: Chiang New Life Movement - Chiang Kai-shek sought to counter the ideology of the Communists and purported domestic moral decay by promoting militarised civic discipline. This campaign slowly dissolved as the threat of Japanese invasion became serious.

- 12 December 1936 - 26 December 1936: Xi'an Incident - Manchurian warlord Zhang Xueliang detained Chiang Kai-shek to demand the end of the domestic civil war, instead of building a unified front against the Japanese. This led to the creation of the Second United Front against Japan based on Chiang's verbal pact when he was released.

- 7 July 1937: Marco Polo Bridge Incident - A localised armed clash over a missing Japanese soldier near Beijing rapidly escalated due to heightened ethnic tensions, which catalysed the Second Sino-Japanese War, which dissolved into widespread, catastrophic regional warfare across Northern China, rendering all peace negotiations moot.

- 13 August 1937 - 26 November 1937: Battle of Shanghai - Chiang Kai-shek deliberately expanded the Northern conflict into the Shanghai municipality to draw in international intervention. This resulted in nearly three months of catastrophic urban destruction and devastated the Chinese military core. This period ended when Japanese amphibious flanking manoeuvres successfully broke the Chinese defensive lines, forcing a Chinese retreat and initiating the 'Lone Island' period.

HISTORICAL CONTEXT

The Treaty of Nanjing (1842)

The Treaty of Nanjing was a direct consequence of the Opium War that took place in the year 1839. The Opium War was a result of illegal smuggling of opium through country traders, as trade in China was limited to the Canton (Guangzhou) port. Additionally, the Qing Dynasty only accepted silver bullion, which created a massive trade deficit between China and Britain. Due to the high influx of opium in China, it created mass addiction to the substance and placed economic strain on the Qing Dynasty's treasury.



Opium addiction crisis in 19th century China
Source: The Guardian

This resulted in skirmishes on the coasts of Canton in late 1839. As the war progressed, it slowly turned in favour of the British as their iron-hulled warships easily outgunned and overwhelmed the Qing Dynasty's traditional wooden warships.[1]

After the defeat of the Qing Dynasty, Britain demanded that the Nanjing Treaty be signed by the then emperor of China, the Daoguang Emperor. The treaty included 13 articles, which targeted the way the Qing Dynasty traded with the British.

The Treaty of Nanjing officially ended the First Opium War by establishing peaceful relations between the British and the Qing Dynasty. The treaty included war indemnities, territorial concessions and administrative changes within the Qing Dynasty. Under its terms, China ceded Hong Kong to the British to use for commercial supply storage and refitting of ships; it abolished the Cohong merchant system and opened five major ports to trade, namely: Canton, Amoy (Xiamen), Fuzhou, Ningbo and Shanghai. Additionally, the treaty also demanded 21 million in silver dollars as indemnities to the British, as well as the immediate release of British prisoners. The treaty placed British and Qing Dynasty high officials on equal terms and

[1] Morse. (1910, October). *The International Relations of the chinese empire : Morse, Hosea Ballou, 1855-1934* Internet Archive. https://archive.org/details/internationalrel01mors/page/n13/mode/2up

stipulated that the British would vacate Chinese territory only as the indemnities were paid. [2]



Treaty of Nanjing
Source: Martin Plaut

Among Chinese intellectuals, elites and the general populace, the signing of the treaty marked a stain on the reputation of China. The Qing previously considered China to be the Middle Kingdom; however, the signing of the treaty marked the beginning of the Century of Humiliation. [3]

The Creation of the International Settlement

The Shanghai International Settlement was a unique, multinational enclave that functioned as a de facto sovereign entity within China. It was governed exclusively by the Shanghai Municipal Council (SMC). The legal and administrative framework for the SMC was created with several hundred foreign nationals and hundreds of thousands of Chinese refugees inside the area.

The legal foundation for the Shanghai International Settlement was established following the cessation of the First Opium War (1839), when the Treaty of Nanjing (1842) and supplementary treaties allowed the opening of treaty ports.[4][5] The supplementary treaties granted foreign nationals the right to extraterritoriality, which strictly exempted foreign nationals from Chinese sovereign jurisdiction. This legal framework is the absolute foundation of the International Settlements' autonomy. Building upon these provisions, residential enclaves for the British (1843), the Americans (1848), and the French (1849) were designated along the Huangpu River.



French Bund frontage, Shanghai (上海)
Source: Historical Photographs of China

However, the demographic and administrative nature of these areas shifted during the Taiping Rebellion (1853), which caused widespread domestic instability, and this conflict drove thousands of Chinese refugees to seek asylum within the protected foreign region. This sudden influx of refugees and the threat to security they posed caused the foreign consuls to collaborate to form the Shanghai Municipal Council (SMC), which was designed to be an executive body designed to manage municipal services, taxation, and defence.

[2] Great Britain. (1844). *Treaty between Her Majesty and the Emperor of China, signed, in the English and Chinese languages, at Nanking, August 29, 1842, with other documents relating thereto: presented to both houses of Parliament by command of Her Majesty, 1844*. London: Harrison.
[3] Bing, L. U. (1914). *Outlines of Chinese history : Li, Ung Bing* Internet Archive. https://archive.org/details/outlinesofchines00liun/page/502/mode/2up
[4] The National Archives. (2023, December 12). Opium Wars. https://www.nationalarchives.gov.uk/education/resources/hong-kong-and-the-opium-wars/
[5] Her Majesty and the Emperor of China . (n.d.-b). Treaty of Nanjing. https://www.thegazette.co.uk/London/issue/20276/page/3597/data.pdf

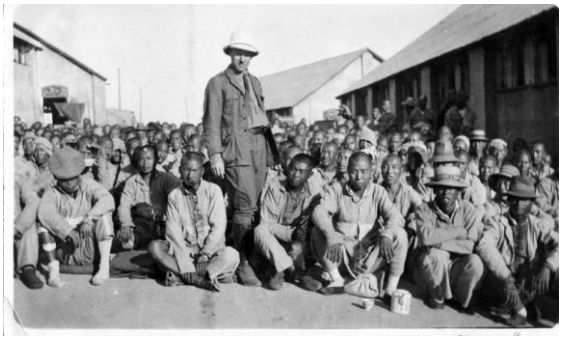


Huangpu River, Shanghai (上海), from a China Navigation Company steamship
Source: Historical Photographs of China

Soon after the creation of the SMC, the French withdrew to independently administer their own sovereign concession, while the British and the Americans amalgamated to form the Shanghai International Settlement, codifying their corporate governance in 1869 through a legal charter known as the Land Regulations.[6] To navigate the complicated jurisdiction of governing a massive Chinese population residing within an extraterritorial zone, the Shanghai Mixed Court (1864) was established. This highly institutionalised, non-sovereign framework allowed the International Settlement to function as an isolated, neutral enclave even as Japanese imperial forces rapidly advanced across and occupied all surrounding Chinese municipalities in 1937.

China & The First World War

When the war broke out in 1914, China declared neutrality. However, driven by deteriorating relations between President Li Yuanhong and the National Assembly over the possible entry of China in the First World War, Duan Qirui turned to a conference of predominantly northern military governors to support his position in favour of China's participation in the war to secure loans for the growth of his military faction.[7] China formally declared war on the German Empire and Austria-Hungary in August 1917. Fractured by the Warlord Era and lacking the military infrastructure to deploy combat troops, China decided to contribute by distributing human capital. The Chinese government at that time facilitated the deployment of roughly 140,000 workers known as the Chinese Labour Corps (CLC) to the Western Front.



Chinese Labour Corps
(South China Morning Post)

This deployment of the CLC, helping the Allied front perform essential and gruelling tasks such as digging trenches, repairing railways, and unloading munitions, helped to free up Allied soldiers for frontline combat. By helping the Alliance, the Beiyang government sought to use its wartime contribution to elevate the international standing of China. They also calculated that by joining the Alliance, they would earn a say in the post-war peace conference in which they would legally demand the return of Shandong, which the Japanese seized in 1914 when the war broke out. Before the time of war, China was financially crippled by the punitive Boxer Protocol of 1901, which required massive annual payments to foreign powers. By entering the war, China successfully negotiated a five-year suspension of these payments and completely cancelled its debts to Germany and

[6] Sun Shuting, Aoki Nobuo - School of Architecture, Tianjin University. (n.d.-d). Lang Regulations for British Concessions in East Asia. https://isprs-archives.copernicus.org/articles/XLVI-M-1-2021/,

[7] McCord, E. A. (1996). Warlords against Warlordism: The Politics of Anti-Militarism in Early Twentieth-Century China. *Modern Asian Studies*, 30(4), 795–827. http://www.jstor.org/stable/312950

Austria-Hungary.[8] However, in 1919, despite China's logistical contribution to the Allied War effort, the architects of the Treaty of Versailles codified Article 156, which legally transferred the former German territorial and commercial concession in Shandong Province directly to the Empire of Japan.



Treaty of Versailles
Source: Bettman Archive

The news of this diplomatic dismissal shattered the domestic illusion, entirely dismissing China's sovereign claims.[9] This was the immediate trigger for the May Fourth Movement, where over 3000 students from Peking University and surrounding institutions gathered at Tiananmen Square.[10] Their immediate proposals were to demand the rejection of the Treaty of Versailles, implement a nationwide boycott of Japanese-manufactured goods, which aimed to cripple Japanese commercial interests, and the dismissal of high-ranking Chinese government officials who were complicit with Japanese interests.[11] The May Fourth Movement catalysed the introduction and popularisation of Marxist-Leninist doctrines as intellectuals looked towards the Soviet Union for an alternative model of anti-imperialist form of government.

This ideological pivot directly facilitated the creation of the Chinese Communist Party (CCP) and a deeply nationalistic environment that defined the complex resistance efforts against Japanese occupation. Although the First World War is predominantly defined by severe international military attrition, the conflict inadvertently catalysed an era of unparalleled commercial and municipal development within Shanghai that altered its developmental trajectory. The diversion of Western shipping and manufacturing toward the Allied Powers severely reduced imports into China. The consequent reduction in international commercial dominance precipitated an era widely recognised as the 'Golden Age of the Chinese Bourgeoisie'. Chinese industries operating within and around the International Settlement, in particular textile milling, flour production, and commercial banking, experienced unhindered growth during this time.[12] This helped Shanghai to solidify its status as the paramount industrial and financial hub of East Asia. This rapid industrialisation gave way to a massive influx of migrant workers who came to Shanghai looking for secure employment.

The Warlord Period

The Warlord Era, spanning the period from 1916 to 1928, was directly triggered by the death of Yuan Shikai in 1916, who served as the first president of the Republic of China since 1912. Yuan's authority stemmed completely from his control over the Beiyang Army, which at the time was China's only major modern military force. After his death, the entire central government collapsed, and control over the country

[8] Journal of Financial Research. (2021, March 4). The Debt Repayment of the Boxer Protocol. http://www.jryj.org.cn/EN/abstract/abstract844.shtml
[9] Mitter, R. (2004). A Bitter Revolution: China's Struggle with the Modern World. Oxford University Press. (Original work published 2004)
[10] Marek Tylkowski (SWPS University, Warsaw, Poland) . (n.d.-e). May Fourth Movement. https://journals.pan.pl/Content/133690/PDF/ROrient%2077%20z.%202-24%207Tylkowski.pdf?handler=pdf
[11] U.S. Department of State. (n.d.). *Treaty of Versailles* . Treaty of Versailles. https://history.state.gov/historicaldocuments/frus1919Parisv13/ch13subch2
[12] Flammarion, M.-C. B. (n.d.). Golden Age of the Chinese Bourgeoisie. https://www.jstor.org/stable/2158570?seq=1

splintered. The nation was then divided among independent regional military commanders, with at least 10 major warlords emerging in the 1920s who had served as officers in Yuan's Beiyang Army. Some believe that these new factions and alliances constantly ensured that no one warlord ever became powerful enough to overthrow the others.[13]

A major group was the Fengtian Clique, which was controlled by Zhang Zuolin, a prominent warlord based in Manchuria, who leveraged Japanese support to control the region's provinces. Sun Yat-sen established an independent revolutionary regime under the control of the Nationalist Party (KMT), which received aid from the Chinese Communist Party (CCP) and the Soviet Union to build the Republican Army through which they consolidated their control over the southern region. Sun died in 1925, but the next year the Nationalist forces were under the command of Chiang Kai-shek and rapidly advanced northward, and in 1928, nominally reunifying the state and formally concluding the Warlord Era. However, Chiang did not eliminate the warlords; instead, he incorporated them into his republican army, and the warlords retained de facto authority over their domains.

The Shanghai Massacre & The Anti-Communist Purge

On 24 March 1927, nationalist troops entered the city of Nanking, attacked foreign consulates, and looted foreign property.[14] In the same month, Zhou Enlai and the Communist led General Labour Union (GLU) mobilised workers to participate in a general strike.

Fearing the rising communist sentiment slowly creeping into Shanghai, China's wealthy merchant class, bankers and foreign concession officers feared the armed union pickets declaring a Soviet-style worker republic. Chiang Kai-Shek, along with Shanghai financiers and the Green Gang, planned to dismantle the aforementioned worker pickets.[15]

On 12 April 1927, armed members of the Green Gang led by triad boss Du Yuesheng emerged from the French concession wearing white armbands stamped with the Chinese character for 'labour'. They carried out attacks all across the city targeting labour unions, including the General Labour Union (GLU) and railway worker centres.[16]



Armed members attacking workers.
Source: The Collector

As the street fights broke out between the two groups, Chiang's 26th army intervened as a means to mediate the conflict and restore public order. However, instead of stopping the Green Gang, the nationalist army confiscated the weapons of the communist workers. Even after multiple pleas by the workers, the officers ignored their request and took away 3,000 rifles that were used by the workers to overthrow the warlords ruling Shanghai.

[13] Lary, D. (1980). Warlord Studies. *Modern China*, *6*(4), 439–470. http://www.jstor.org/stable/189036
[14] Herald, N.-C. (1927, July 30). *North China Herald 1927.07.30*. Internet Archive. https://archive.org/details/north-china-herald-1927.07.30/page/216/mode/1up?q=%22glen%2Brucker%22
[15] Isaacs, H. R. (n.d.). *The tragedy of the Chinese Revolution*. The Tragedy of the Chinese Revolution CHAPTER 8. https://www.marxists.org/history/etol/writers/isaacs/1938/tcr/ch08.htm
[16] Isaacs, H. R. (n.d.). *The tragedy of the Chinese Revolution*. The Tragedy of the Chinese Revolution CHAPTER 10. https://www.marxists.org/history/etol/writers/isaacs/1938/tcr/ch10.htm

As retaliation for the unfair seizure of weapons, over 100,000 workers organised a massive protest on Baoshan Road in Zhabei. They demanded the return of their weapons and the release of arrested union leaders. Most notably, Wang Shouhua was abducted on the 11th after he was lured by Du Yuesheng under the pretext of negotiating labour conditions between the unions and business communities. They approached the 26th Army unarmed; however, the military leaders gave an order to shoot whoever protested, which led to the Baoshan Road Massacre. After the machine gunners opened fire, 300 were killed outright, and many more were wounded and dragged from nearby homes.[17]

Reportedly, KMT troops and Green Gang squads conducted house-to-house sweeps throughout the Chinese-administered sectors. Foreign concession police guarded the perimeter, handing over fleeing Communists to KMT military tribunals. The GLU was officially dissolved, replacing all labour organisations with KMT-controlled 'yellow unions."[18]

The Invasion of Mukden

Throughout the early 20th century, Japan maintained special rights and significant investments in Manchuria, viewing control of the region as necessary for the defence of its colony in Korea. On the night of 18 September 1931, an explosion near the South Manchurian Railway damaged an extensive amount of railway networks. The Japanese blamed the Chinese nationalists for the incident and used the opportunity to retaliate and invade Manchuria. However, others, such as the U.S. and the British, speculated that the bombs might have been planted by mid-level officers in the Japanese army to provide the pretext to launch an invasion of Manchuria.

Within a few months, the Japanese Army had completely overrun the region, having next to no resistance from the Chinese Army. The Japanese went on to rapidly occupy the region to secure its critical iron ore reserves, which were vital for sustaining Japan's heavy industrialisation and military production. The region also contained highly valuable reserves of gold, magnesite, lead, zinc, and oil shale, further shielding the Japanese from Western Embargoes. After claiming almost autonomous control over the region, the Japanese declared the area to be the new autonomous state of Manchukuo, though the new nation was in fact under the control of the local Japanese Army.[19]



Japanese Soldiers during the Mukden Incident
Source: U.S. Office of the Historian

The United States and Western Powers were confused as to how to respond to the rapidly developing crisis. Given the 1930s worldwide depression, there were very few economic sanctions imposed on Japan. The United States instead approached the League of Nations council meetings to convince the League to enforce the Kellogg-Briand Pact, which pledged

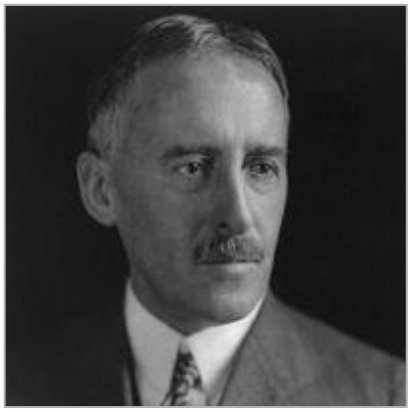
[17] Isaacs, H. R. (n.d.-b). *The tragedy of the Chinese Revolution*. The Tragedy of the Chinese Revolution CHAPTER 11. https://www.marxists.org/history/etol/writers/isaacs/1938/tcr/ch11.htm
[18] Isaacs, H. R. (n.d.-c). *The tragedy of the Chinese Revolution*. The Tragedy of the Chinese Revolution CHAPTER 18. https://www.marxists.org/history/etol/writers/isaacs/1938/tcr/ch18.htm
[19] Manchukuo | imperialism, Japanese occupation, & map | Britannica. (n.d.). https://www.britannica.com/place/Manchukuo

to permanently outlaw war as an instrument of national policy, which both Japan and China had signed.[20] [21] However, it lacked structural enforcement mechanisms to prevent international legal violations. Aggressors refused to formally declare war, instead classifying them as mere 'incidents' to shield their conquests.

As the Kellogg-Briand Pact proved ineffective, the United States and Western Powers felt that the Japanese occupation of Manchuria was a threat to regional balance. Hence, they issued the Stimson Doctrine in early 1932, which stated that the United States would not recognise any treaty or agreement between Japan and China that violated U.S. rights or agreements to which the United States subscribed.[22] Moreover, after its successful conquest of Manchuria, the Japanese attacked the city of Shanghai in 1932.

As Shanghai was home to the largest international settlements in China, the sudden invasion threatened foreign concessions as well. Stimson, who served as the United States Secretary of State under President Herbert Hoover, helped to create the diplomatic response to the early Japanese expansion by declaring that, as a result of Japan's violation of the Nine-Power Treaty, the United States would no longer consider itself bound by the naval limitations agreements.[23] By linking these treaties, Stimson highlighted that Japan could not simultaneously violate the Nine-Power Treaty's protection of Chinese borders while expecting the United States to adhere to the rigid warship-building limits of the naval agreements. This meant a potential new naval arms race in the Pacific that would inevitably draw in the Japanese, but it did not change the situation in Manchuria.

While the U.S. was developing its own solution, it sent an unofficial delegate along with the League of Nations group to investigate the Mukden Incident. Ultimately, the Lytton Commission produced a formal account that distributed responsibility for the Manchurian crisis in a balanced manner, citing both the rise of Chinese nationalism and the expansion of Japanese militarism as primary catalysts.[24]



Secretary of State Henry Stimson
Source: U.S. Office of the Historian

The Kidnapping of Chiang Kai-Shek

After Japan's successful invasion and occupation of Manchuria in 1931 and its expansion into northern China, immense anti-Japanese sentiment among the Chinese people was fueled, which created intense domestic pressure for the creation of a united resistance. Chiang Kai-shek (Pinyin: Jiang Jieshi) was a Nationalist generalissimo who was also the commander-in-chief of the Nationalist armies. He believed in fighting the Chinese communists rather than

[20] *The League of Nations*. The United Nations Office at Geneva. (n.d.). https://www.ungeneva.org/en/about/league-of-nations/overview
[21] U.S. Department of State. (n.d.). *The Kellogg-Briand Pact, 1928*. U.S. Department of State. https://history.state.gov/milestones/1921-1936/kellogg
[22] U.S. Department of State. (n.d.-b). Stimson Doctrine. https://history.state.gov/milestones/1921-1936/mukden-incident
[23] U.S. Department of State. (n.d.-b). Nine Power Treaty. https://history.state.gov/milestones/1921-1936/naval-conference
[24] League of Nations . (n.d.-c). Report of the Lytton Commission of Inquiry. . https://www.loc.gov/item/2021666890/

focusing the Nationalists' full efforts on resisting Japanese imperial expansion. As a result of his ideology, he was seized by two of his own generals, Yang Hucheng and Zhang Xueliang, the latter of whom was the commander of Northeastern Nationalist forces. On 12 December 1936, Chiang visited the headquarters of Zhang and Yang to promote a new anti-communist campaign, motivated by their concerns for their homelands and occupation by the Japanese.

They demanded the cessation of the ongoing civil war between the Nationalists and Communists, and instead to form a national united front to oppose the occupation of Japan and the reorganisation of the Nationalist government of the Republic of China. In agreement with the requests made, the Chinese communists joined the negotiations. After Chiang Kai-shek verbally agreed to the proposals, he was released on 25 December 1936, and he later established the second United Front with the communists to fight the Japanese.

The Marco Polo Bridge Incident

Japan's position in Northern China had been tightening since the 1931 seizure of Manchuria and creation of Manchukuo, using the demilitarised zone from the 1933 Tanggu Truce to press for further concessions.[25] On the night of 7 July 1937, a small Japanese force on manoeuvres near the Marco Polo Bridge demanded entry to the tiny walled town of Wanping in search of one of their soldiers. The Chinese garrison in the town refused the Japanese entry; a shot was heard, and the two sides began firing. The Chinese government, under strong anti-Japanese pressure, refused to make any concessions in negotiating the dispute. The Japanese also maintained a similar position. As a result, the conflict escalated.[26]

A local ceasefire was concluded on 11 July, the same day Tokyo's government issued a statement on China that hinted at dispatching three divisions from mainland Japan, in the wake of the Marco Polo Bridge Incident. One contemporary U.S. dispatch from that month describes Japan as having already moved troops from Manchuria, while two further divisions were being "sent or assembled for sending" from Japan itself.[27]

Japan's legal basis for troops near the bridge came from the 1901 Boxer Protocol, which permitted garrisoning the Beijing-Tianjin rail corridor, a right that covered stationing troops there, though not necessarily any specific unannounced manoeuvre.[28] The nearby Fengtai junction, where the Beiping-Hankou and Beiping-Suiyuan lines diverged, was already being reinforced by Japanese detachments as early as 1935. Once fighting spread, the open terrain of the North China Plain favoured Japan's artillery, air power, and mobility over the 29th Army; Beiping and Tianjin fell within about three weeks.[29]

Economically, Japanese planners hoped absorbing North China into the Japan-Manchuria bloc would secure iron ore and coking coal that neither the home islands nor Manchuria could supply, or even as to trade within Japan's own 'yen bloc' was failing to generate the hard

[25] Academy of Chinese Studies. (n.d.-a). Tanggu Truce to He-Umezu Agreement. https://chiculture.org.hk/en/photo-story/3155
[26] Miwa, K. I. (n.d.). The Chinese Communists' role in the spread of the Marco Polo Bridge Incident. https://www.jstor.org/stable/2383143?seq=1
[27] Todd, J. W. (n.d.-a). Jison Jiei: Offensive Realism and Imperial Japan's Spiral toward Regional Hegemony. https://digitalcommons.chapman.edu/cgi/viewcontent.cgi?article=1016&context=war_and_society_theses
[28] Finch, G. A. (n.d.). Remission of the Chinese indemnity. https://www.jstor.org/stable/2188365?seq=1
[29] Crowley, J. B. (n.d.). A reconsideration of the Marco Polo Bridge Incident. https://www.jstor.org/stable/2050187?seq=1

currency the country actually needed.[30] China's recourse, once fighting spread to Shanghai, was the 1922 Nine-Power Treaty, binding Japan, Britain, and the U.S. to respect Chinese territorial integrity.[31]

The Battle of Shanghai

By the second week of August 1937, the fighting that had begun at the Marco Polo Bridge a month earlier had not stayed confined to the north.[32] On 9 August, a Japanese naval lieutenant was shot dead by Chinese guards near Hongqiao Airport. Japanese and Chinese accounts of the exact circumstances conflicted at the time, and contemporary U.S. diplomatic reporting noted that independent observers could not establish precisely what had happened; what is not disputed is that the officer's presence there violated the terms that had ended the 1932 Shanghai fighting. General Zhang Zhizhong, a veteran of that earlier battle who had spent the intervening years quietly training defence units under the cover of 'police training,' judged that China held a brief window before Japanese reinforcements could arrive in strength, and urged Chiang Kai-shek to strike first rather than wait. On Chiang's order, Chinese forces attacked Japanese naval landing positions in the city on 13-14 August 1937, starting what is generally described as a three-month battle for the city proper, distinct from the further fighting toward Nanjing that followed once Shanghai fell.[33]

A detailed military-analytical study of the battle argues that Chinese planning for exactly this contingency dated back to the winter of 1935: under German advisers (first Colonel Bauer, then General von Falkenhausen), General Zhang Zhizhong had secretly built a network of roads, trenches, and dual-purpose gun positions in a 'dual Maginot-line style' running from Nanjing to Shanghai, explicitly intended 'to annihilate the enemy garrison force in Shanghai by surprise with our numerical superiority when it became clear that war would be inevitable.' The 87th, 88th, and 36th Divisions, together known as 'Chiang's own', were pre-positioned within a short train ride of the city well before the fighting began. The same study argues that neither side was actually taken by surprise when fighting broke out on 13 August.[34]

That same study offers a revisionist explanation for why China's opening offensive stalled and ultimately failed, one that goes beyond the standard "Japan had superior firepower" account. It argues the deeper problem was at the strategic command level: Chiang issued four different, partly contradictory attack orders at different times over two weeks, so that divisions arriving piecemeal were committed to battle before a unified plan or timing existed, robbing the offensive of the tempo it needed. A severe typhoon that struck on 14 August 1937, compounded the disruption, an effect the study argues is largely absent from other historical accounts of the battle.[35]

---

[30] Tetsuji Okazaki - Meiji Gakuin University, Akira Okubo - Nagoya University. (n.d.-j). Economic warfare of Japan in the 1930s and the early 1940s. https://www.cirje.e.u-tokyo.ac.jp/research/dp/2024/2024cf1233.pdf
[31] The American Journal of International Law, Vol. 31, No. 4 . (n.d.-k). The Nine Power Treaty. https://www.jstor.org/stable/2190677?seq=1
[32] U.S. Department of State. (n.d.). *Foreign Relations of the United States, Diplomatic Papers, 1937, The Far East, Volume III*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1937v03/d396

[33] U.S. Department of State. (n.d.-b). *Foreign Relations of the United States, Diplomatic Papers, 1937, The Far East, Volume III(398)*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1937v03/d398
[34] Whitney, M. D. (2000). *A Military Analysis of the Battle of Shanghai, 13 August - 8 November 1937*.
[35] Eastman, L. E. (1981). Who Lost China? Chiang Kai-shek Testifies. *The China Quarterly*, (88), 658–668. http://www.jstor.org/stable/653752

Much of the tactical backbone behind China's best divisions came from a decade of quiet German military cooperation. General Alexander von Falkenhausen, who took over the German advisory mission in 1934, had recommended since 1935 that China rely on flexible defence-in-depth and swift counterattacks rather than static holding, advice that formed the basis of China's 1936-37 defence planning.[36] The divisions that spearheaded China's attack in Shanghai were equipped with German helmets, rifles, and stick grenades and were included in tactical doctrines drawn directly from World War I storm-trooper methods. As the fighting wore into an attritional, house-by-house battle that earned it the contemporary nickname "the German war" among the Japanese and "Verdun of the East" more widely, Chinese commanders reduced to feeding in barely trained replacements as their original divisions were exhausted, increasingly reverted to holding ground at all costs rather than following Falkenhausen's recommended pattern of surprise attacks and prompt local counterattacks; Falkenhausen himself was reportedly sharply critical of the resulting breakdown in coordinated tactics.[37]

The Yangzi Delta's geography shaped the battle as much as any commander's decision did. Unlike the open plains around Beiping and Tianjin, the rivers, canals, and flooded rice paddies surrounding Shanghai were widely recognised, even before the war, as poorly suited to the kind of mechanised manoeuvre warfare in which Japan held a clear advantage, a major reason Chinese planners were willing to make their stand there rather than accept a purely northern campaign fought entirely on terrain that favoured Japan. A network of field fortifications between Shanghai and Nanjing, including what came to be known as the Wufu Line (Suzhou–Fushan) and the Xicheng Line (Wuxi–Jiangyin), had been under construction since 1934 to strengthen the approaches to Nanjing through southern Jiangsu.[38] Those lines were overrun in the weeks following Shanghai's fall: the Wufu Line around 19 November, the Xicheng Line around 26 November, not during the three-month battle itself.[39] The city's fall was precipitated by Japan's final and most decisive flanking manoeuvre: on 5 November, 1937, Japan's Tenth Army, comprising three divisions, landed at Hangzhou Bay near Jinshanwei, roughly fifty miles southwest of the city, threatening to encircle the entire Chinese army from the rear. Chiang ordered a general retreat three days later, and by mid-November the city, though not the foreign-administered International Settlement within it, was in Japanese hands.

The financial shock of the battle was immediate. China's currency had been on comparatively stable footing since the November 1935 reform that replaced the silver standard with the managed fabi note, adopted amid severe monetary pressure from falling silver prices and accelerating outflows tied to the U.S. Silver Purchase Act of 1934, a crisis examined in detail in a full academic study of Shanghai's 1934-35 financial turmoil and the currency reform that followed.[40] That stability did not survive contact

[36] Paulose, J. (n.d.). Three months of bloodshed: Strategy and combat during the battle of shanghai. https://athena.westpoint.edu/server/api/core/bitstreams/1915d377-7159-4b19-a1fb-9d5a53f32f96/content
[37] Walsh, B. K. (1974). The German Military Mission in China, 1928-38. *The Journal of Modern History*, *46*(3), 502–513. http://www.jstor.org/stable/1877322
[38] Paulose, J. (n.d.). Three months of bloodshed: Strategy and combat during the battle of shanghai. https://athena.westpoint.edu/server/api/core/bitstreams/1915d377-7159-4b19-a1fb-9d5a53f32f96/content
[39] Lai, B. (n.d.). Shanghai and Nanjing 1937: Massacre on the Yangtze (campaign) 1472817494, 9781472817495 - DOKUMEN.PUB. https://dokumen.pub/shanghai-and-nanjing-1937-massacre-on-the-yangtze-campaign-1472817494-9781472817495.html
[40] Tsui, S., & Jiansheng, Q. (n.d.). Renminbi: A century of change. https://our-global-u.org/oguorg/en/download/Featured%20Authors/sit_tsui/Renminbi-A-Century-of-Change-2018.pdf

with the war: capital flight out of China began the moment fighting broke out in the north on 7 July, and when the fighting reached Shanghai itself on the morning of 13 August, the resulting financial panic forced a bank holiday in the very city that had, until then, hosted the largest and most cosmopolitan concentration of banking and stock-market activity in China. The relationship between that financial sector and the Nationalist government had, moreover, never been the simple alliance it is sometimes assumed to be; the standard academic account of the period argues that Nanjing spent the preceding decade extracting revenue from Shanghai's capitalists as much as partnering with them, which shaped and limited the resources actually available to the government once the shooting started.[41]

Diplomatically, the battle unfolded in full view of the international community; it was partly designed to impress. As Chinese resistance in Shanghai entered its final weeks, the signatories of the 1922 Nine-Power Treaty convened in Brussels from 3 to 24 November 1937, at China's request.[42] Japan refused to attend, arguing the treaty no longer applied given "changed conditions" in China, and the conference's closing declaration on 24 November could do no more than reaffirm the treaty's principles without any mechanism to enforce them.[43] Days after the Shanghai fighting escalated, on 21 August, Chiang's government had separately signed a Non-Aggression Pact with the Soviet Union in Nanjing, opening the door to Soviet aircraft and material support through what became known as Operation Zet, though Moscow stopped short of committing regular Soviet forces directly to the war.

KEY DIMENSIONS

Political-Ideological Dimension

The Japanese Military

The Imperial Japanese Army (IJA) was the primary ground force for the Japanese from 1871. It played a vital role in the industrialisation of Japan during the Meiji period. It was formed after the defeat of the Tokugawa shogunate.

The first war with China took place in 1894, after Korea, which Japan viewed as an extremely vital neighbour, was continuously threatened by Chinese claims of hegemony and corrupt internal administration. When the Tonghak rebellion destabilised Korea, China sent troops as a means of restoring order, which was a violation of existing agreements and asserted feudal control over the Korean court. [44]

From Tokyo's point of view, they could not allow a weak and backward nation on their maritime border to fall under Chinese control.[45] They sought out to come to terms with China to introduce essential administrative, financial and military reforms to Korea. However, the Qing dynasty rejected all proposals and scorned the new ways of diplomacy. They instead insisted on making Korea a vassal state. Faced with China's stern view on Korea, Japan mobilised its troops to protect its national interests and citizens residing in Korea.

---

[41] COBLE, P. M. (1980). *The Shanghai Capitalists and the Nationalist Government, 1927–1937* (1st ed., Vol. 94). Harvard University Asia Center. https://doi.org/10.2307/j.ctt1tfjd17

[42] U.S. Department of State. (n.d.-c). *Papers Relating to the Foreign Relations of the United States, Japan, 1931–1941, Volume I(295)*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1931-41v01/d295

[43] *Nine-power treaty-its outline and failure*. Pacific Atrocities Education. (n.d.). https://www.pacificatrocities.org/blog/nine-power-treaty-its-outline-and-failure

[44] Brinkley. (1901). *Japan, its history, arts, and literature : Brinkley, F. (Frank), 1841-1912* Internet Archive. https://archive.org/details/japanitshistory1brin/page/18/mode/2up

[45] Aritomo, Y. (1890). Gupea *https://gupea.ub.gu.se/server/api/core/bitstreams/54382e55-fe7f-4f69-9371-b6fc0d457305/content*. Gupea. https://gupea.ub.gu.se/server/api/core/bitstreams/1e14c012-3d2b-4936-9f0f-ef271f866d7a/content

After a declaration of war by Japan on 1 August 1894, hostilities commenced in the Battle of Pyongyang on 15 September; it became clear that the Japanese had a much more disciplined army with modern military organisation and were equipped with Western-style war tactics.[46] They won at sea after the sinking of the British merchant steamship SS Kowshing and a decisive victory in the Battle of the Yalu River, along with land victories in Port Arthur and Wei-Hai-Wei. The battle ended with the signing of the Treaty of Shimonoseki on 17 April 1895. [47]



Battle of Pyongyang 1894
Source: Japan Centre for Asian Historical Records

The treaty made China recognise Korea's complete independence and cede the territories of Taiwan, the Penghu Islands and the Liaodong Peninsula to Japan. It included massive war indemnities reaching 200 million taels and granted Japan commercial concessions including new treaty ports. This treaty placed Japan as the leading power in East Asia and displayed the decline of the Qing Dynasty. [48]

Soon, the Japanese government signed the Boxer Protocol, which provided Japan the collective ability to garrison the Beijing-Tianjin corridor. This also earned the respect of the other 11 nations that signed the protocol due to Japan providing the largest contingent in the war. Beyond receiving a lucrative slice of the silver indemnity, Japan secured the legal right to garrison troops in northern China along vital railway corridors. This troop presence permanently expanded Japan's military footprint on the Asian mainland, laying the groundwork for its future northern expansion. [49]

Following the Boxer Rebellion, in 1900, Russia had placed troops in Manchuria under the pretext of protecting its railway investments. Even after diplomatic pledges, such as the Sino-Russian Convention in 1902, Russia delayed its withdrawal from Manchuria, consolidating its military grip on the region. To Tokyo, Russia's occupation posed an existential threat to Korea and, by extension, to Japan's own national security. Between August 1903 and February 1904, Tokyo and St. Petersburg had gone through multiple lengthy negotiations where Japan would recognise Russia's special commercial interests under the assumption that Russia respected China's sovereignty and Japan's paramount interest in Korea. However, due to conflicting interests between the two countries and troop buildup in Korea, Japan was led to believe conflict was the only option to protect its national security.

When hostilities commenced in February 1904, the IJA achieved successes on both land and sea. Notable moments of the conflict include the Siege of Port Arthur (May 1904 - January 1905),

[46] White, T. (1895). *The war in the East: Japan, China, and Corea*. The War in The East. Japan, China and Corea, by Trumbull White. https://www.gutenberg.org/cache/epub/55608/pg55608-images.html#Page_419
[47] *Treaty of Shimonoseki*. Treaty of peace. (treaty of peace between the Empire of Japan and the Empire of China, treaty of shimonoseki) - "The world and Japan" database. (1895, April 17). https://worldjpn.net/documents/texts/pw/18950417.T1E.html
[48] U.S. Department of State. (1895, April 29). *Treaty of peace between Japan and China*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1895p1/d203
[49] *The boxer rebellion*. Origins. (n.d.). https://origins.osu.edu/read/boxer-rebellion#:~:text=In%201899%2C%20in%20Shandong%20and%20Hebei%20in,advance%20against%20them%20in%20Beijing%20and%20Tianjin.

the Battle of Mukden (January - February 1905) and the Battle of Tsushima (May 1905) [50]

In mid 1905, the U.S. government acted as a mediator for a peace deal between the Japanese and Russians, both of which were economically strained after the war. Both sides signed a deal where Russia would vacate Manchuria and recognise its sovereignty, transfer its lease of Port Arthur to Japan and recognise Korea as falling under Japan's sphere of political influence.[51]

In 1915, during the outbreak of the 'First World War', as the Western powers were preoccupied with the war, Japan would be under minimal international scrutiny. After Japan's historical capture of Shandong from Germany in 1914, it sought to expand further. On 18 January 1915, Japanese minister Hioki Eki bypassed formal international channels of communication and personally delivered a document to President Yuan Shikai of the Republic of China listing twenty-one demands. If secrecy was breached, China would be threatened by an invasion from the IJA.



Japanese Minister Hioki Eki
Source: Medals of Asia

The twenty-one demands were divided into 5 groups that were meticulously designed to strip China's sovereign control over South Manchuria, Eastern Inner Mongolia, Shandong, the Hanyeping mining complex and key coastal ports. The most sinister section was group 5, which demanded that China employ Japanese political, financial and military advisors, share municipal police forces and provide railway concessions to Japan for the Yangtze Valley.

Lacking the military strength to fight Japan due to a recent civil war in China, Yuan Shikai was under immense military pressure. Thus, his administration employed a series of calculated delays and resistance. Chinese diplomats soon reportedly leaked the list of demands to foreign journalists and diplomats, which sparked international outrage, primarily from Great Britain and the United States. Under diplomatic pressure, Japan modified its demands and sent China a 48-hour ultimatum to accept groups 1 to 4 on 7 May 1915 and detached group 5 for future negotiations. Lacking external military support, the Republic of China signed the ultimatum on 9 May, which followed the formal signing of the treaties on 25 May 1915. This was highlighted as the 'National Humiliation Day' for China and created a rift between the Chinese public and the Japanese government, which resulted in a mass Japanese boycott across China. [52]

In early 1928, as Chiang Kai-Shek's northern expedition progressed, Marshal Zhang Zuolin, who was the dominant military leader in Manchuria and leader of the Beiping Government, had to retreat back to Mukden after realising the capture of his capital was inevitable. Recognising the tensions around China, he boarded a heavily armoured private train on 3

[50] Suyematsu, K. (1905). *The risen sun*. London: Constable. HathiTrust https://catalog.hathitrust.org/Record/007683279
[51] U.S. Department of State. (1905a, December 5). *PAPERS RELATING TO THE FOREIGN RELATIONS OF THE UNITED STATES, WITH THE ANNUAL MESSAGE OF THE PRESIDENT TRANSMITTED TO CONGRESS DECEMBER 5, 1905*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1905/pg_807
[52] Putnam Weale, B. L. (Bertram L. (1917). *The fight for the Republic in China*. The Project Gutenberg eBook of The Fight for the Republic in China, by B. L. Putnam Weale. https://www.gutenberg.org/cache/epub/4522/pg4522-images.html

June 1928. As the train approached Huanggutun junction on 4 June, a massive explosion occurred under Zhang's carriage. This blast caused the Japanese-owned Southern Manchurian Railway bridge to fall upon the Marshal's car. This critically wounded the warlord, which led to his subsequent death. This was known as the Huanggutan incident caused by the Japanese Kwantung Army. [53]



Huanggutan Incident
Source: Historical Photographs of China

On 18 September 1931, the Mukden Incident took place. The IJA faced no resistance as the Republic of China held a strict no-resistance policy due to their dire situation fresh out of a civil war. Soon, the Japanese set up the state of Manchukuo to assert their territory in China, which faced harsh criticism from the League of Nations. The League sent out an inquiry commission known as the Lytton Commission on the pretext of a violation of the Kellogg-Briand Pact. On the recommendation of the Lytton Commission, the League of Nations refused to recognise Manchukuo as a part of Japan and strongly condemned the invasion. This led to the withdrawal of Japan from the League of Nations on 27 March 1933.

On 1 January 1933, a conflict erupted in Shanhaiguan, leading to a Japanese assault on the city. A Chinese delegation was sent to the League of Nations to protest Japanese occupation of Shanhaiguan as a breach of Chinese sovereignty. In February 1933, Japanese and Manchukuo forces initiated an offensive into the Rehe province. The Japanese delegation argued that Rehe was an integral part of Manchukuo and that operations were necessary to eliminate regional warlords that threatened its territory. Chinese diplomats argued that Rehe was a definite Chinese province and called for international intervention.

On 24 February 1933, the Assembly of the League of Nations in Geneva adopted the report of the Committee of Nineteen, declaring Chinese sovereignty in Manchuria and Rehe and Japanese aggression against that sovereignty. In reply, the Japanese delegation led by Yosuke Matsuoka rejected the resolution and left the Assembly. In early March 1933, the Japanese Army seized Chengde, the capital of Rehe, thus completing the military occupation of the province. Chinese troops tried to resist along the Great Wall, which was declared to be the traditional undisputed border of China by the Chinese diplomats in the League of Nations.

On 27 March 1933, Japan gave notice of its withdrawal from the League of Nations. [54]After the new Japanese military campaign advanced south of the Great Wall into Hebei Province, the Chinese and Japanese delegations carried out bilateral talks and negotiations. On 31 May 1933, the Tanggu Truce Agreement was signed by General Okamura Yasuji and General Xiong Bin. This agreement established the demilitarised zone of 100 kilometres south of the Great Wall,

[53] Abend, H. (1930). *Tortured China.* New York: I. Washburn. HathiTrust https://catalog.hathitrust.org/Record/011739258/Home
[54] League of Nations Assembly Report on the Sino-Japanese Dispute. (1933). *The American Journal of International Law*, 27(3), 119–153. https://doi.org/10.2307/2213489

where Chinese regular troops had to withdraw and could not enter. [55]



Signing of the Tanggu Truce
Source: China Media Project

Following the Tanggu Truce, Japan tightened its forces over North China. Exploiting the demilitarised zones, Japanese planners sought after North China's iron, coal and economic integration into the 'yen bloc'. Concessions like the June 1935 Qin-Doihara Agreement forced Chinese troops to withdraw simultaneously, while Japanese-backed bodies like the East Hebei Autonomous Government and Hebei Chahar political council further eroded Chinese sovereignty. [56]

On 7 July 1937, a Japanese unit demanded entry near the Marco Polo Bridge into Wanping to find a missing soldier. Due to the rising anti - Japanese sentiment, the Chinese garrison refused. This led to an exchange of fire, and neither side of the conflict made concessions, resulting in an escalation. [57]



Outbreak of Resistance following the Marco Polo Bridge Incident
Source: Academy of Chinese Studies

Japan soon captured Beiping and Tianjin within three weeks. On 12 September 1937, China appealed to the 1922 Nine-Power Treaty, but the Western powers lacked any coordination to respond to the escalating crisis. [58]

The Chinese Communist Party

Founded in July 1921 following the publication of its initial manifesto in November 1920, the Chinese Communist Party (CCP) was established on Marxist - Leninist principles.[59] Central to its foundational ideology, it sought the abolition of private ownership and the collectivisation of the means of production. In accordance with Marxist principles, the party believed that the existing state apparatus, that is, the judiciary and military branches, primarily served to protect the interests of the ruling class by exploiting the labour force. Subsequently, the CCP believed in the complete restructuring of the socio -

[55] Ministry of Foreign Affairs, R. O. C. (1933, May 31). *Tangku Truce*. Wikimedia. https://upload.wikimedia.org/wikipedia/commons/1/16/NDL10273632_Court_Exh._No._193-_Tangku_Truce%2C_31_May_1933.pdf

[56] Akira, N. (n.d.). THE ROAD TO THE GREATER EAST ASIAN WAR NAKAMURA AKIRA PART 44 ; CHAPTER 11: JAPAN-CHINA RELATIONS ON NORTHERN CHINA 3. UMEZU-HE AGREEMENT | Society for the Dissemination of Historical Fact. https://www.sdh-fact.com/book-article/2369/

[57] Miwa, K. I. (n.d.). The Chinese Communists' role in the spread of the Marco Polo Bridge Incident. https:could//www.jstor.org/stable/2383143?seq=1

[58] U.S. Department of State. (1937, September 12). *The Consul at Geneva (Bucknell) to the Secretary of State*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1937v04/d17

[59] Guoideologytao, Z. (1920, November 1). *Manifesto of the Chinese Communist Party*. China Copyright and Media. https://chinacopyrightandmedia.wordpress.com/1920/11/01/manifesto-of-the-chinese-communist-party

economic system to establish a classless society led by the proletariat.

The Chinese Communist Party believed that to achieve the aforementioned ideals and realise them, they must extirpate the capitalist system through the means of organised revolutionary action. They aimed to build industrial unions and mobilise the urban working class through these unions to unite the proletariat and fight one common enemy, which is defined as the so-called bureaucratic capitalists.

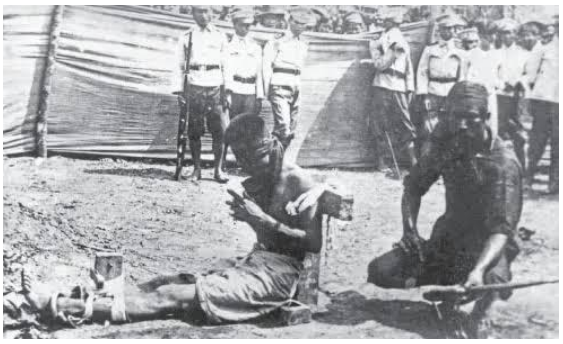
The party took inspiration from the Russian Revolution in 1917, led by Vladimir Lenin, the founder of the Bolshevik Party. Mao Zedong explicitly mentions the use of Marxist - Leninist policies in his writings. Additionally, the co-founder of the Chinese Communist Party, Li Dazhou, wrote an extensive essay on the victory of the Russian Revolution called 'Victory of Bolshevism ', and the party formally voted to follow the 21 policies provided by Lenin in his Second Communist International Meet.[60]



Li Dazhou, co-founder of the CCP
Source: Marxist Internet Archive

In support of the ordinary Chinese civilians, the CCP took part in the military campaign against the Beiyang government and other warlords. This was proclaimed as the Northern Expedition, which fought in a delicate alliance with the Kuomintang (KMT) led by Chiang Kai-Shek.

Forming a coalition to counter the growing threat posed by regional warlords, the KMT and CCP initiated hostility against these cliques. After defeating the warlords Wu Peifu and Sun Chuanfang, on 12 April 1927, Chiang Kai-Shek initiated the Shanghai massacre, which was a carefully executed operation that targeted Communist troops and factory workers. This ended the coalition of the First United Front. By the eve of the 12 April purge, the National Revolutionary Army (NRA) controlled Guangdong, Hunan, Hubei, Jiangxi, Fujian, Zhejiang, and southern Jiangsu, positioning Chiang Kai-shek to establish his government in Nanjing shortly after purging the Communists in Shanghai.



Abuse ensued during the Shanghai Massacre.
Source: Perlego

However, the alliance with the Chinese Communist Party led the finest revolutionary troops of the Kuomintang to rebel against their leaders as a means of a counter-revolution.[61] This resulted in the Nanchang Uprising in Jiangxi. Subsequently, this led to five annihilation campaigns (1930 - 1934) led by the Kuomintang (KMT) government. In the first through third campaigns, the Red Army successfully repelled the KMT forces by using guerrilla warfare to their advantage. After the third campaign in 1931, the KMT took a 2 year hiatus after the sudden Mukden incident and resumed with the fourth campaign in 1933. During the fourth campaign,

[60] The Second national congress. (1922, July 23). https://www.idcpc.org.cn/english2023/tjzl/cpcjj/PartyCongresses/202307/t20230727_157814.html
[61] Tse-tung, M. (1928, November 25). *THE STRUGGLE IN THE CHINGKANG MOUNTAINS*. https://www.marxists.org/reference/archive/mao/selected-works/volume-1/mswv1_4.htm

the Red Army faced multiple challenges due to strain from the economic blockades. Nonetheless, the Red Army saw a marginal victory. Noticing the errors in past campaigns, Chiang Kai-Shek reached out to Germany to enforce a strict blockade against the Red Army. This crippled the Communist Party's ability to sustain a lasting war, leading to the abandonment of its Soviet southern bases. [62]

After a crucial military conference took place at Ji'an after the defeat in the Fifth Campaign, it was deemed necessary to vacate the southern bases, transferring the main strength to a new base. This was known as the Long March to Shaanxi. The retreat took place swiftly and only moved during the night. The CCP settled in the Shaanxi province after their mass retreat from the annihilation campaigns and made Yan'an, a remote plateau in the province, the headquarters of their military leadership. In September of 1937, the Communist government was officially named the Shaan-Gan-Ning border region by the KMT and the United Front. [63]



The Long March to Shaanxi
Source: Craig Hill

However, after the Suiyuan War, which was followed by the Xi'an incident, which resulted in the capture of Generalissimo Chiang Kai-Shek of the NRA, the CCP and KMT reentered negotiations. On 25 December 1937, after the release of Chiang, the Second United Front was established.

The Kuomintang

The party formed on 24 November 1894 by Sun Yat-sen, the Kuomintang (KMT), also known as the Chinese Nationalist Party, was a clandestine revolutionary organisation dedicated to overthrowing the Qing (Manchu) Dynasty. After working covertly for 2 decades, the party finally formally reorganised itself after successfully overthrowing the Qing Dynasty in the Xinhai Revolution, renaming itself the Kuomintang and becoming a dominant political force in the 20th century. [64]

Dr Sun Yat-sen held multiple lectures on 27 January 1924, where he talked about the three principles that sustained the Kuomintang party: Nationalism, Democracy, and the People's Livelihood. [65]

Nationalism (Minzu) sought to eradicate foreign imperialist dominance over China and establish national sovereignty. He recognised that decades of unequal treaties and foreign concessions had reduced China to a semi-colonial state. To counter domination by foreign powers, he called for anti-imperialist resistance by unification of China's multiple distinct ethnic groups under a single nation-state. This would, according to Sun Yat-sen, replace regional warlordism with collective national consciousness.

Sun Yat-sen's principles of Democracy and People's Livelihood outlined China's transition to a constitutional republic. Democracy divided governance between popular power and government administration. Meanwhile, People's Livelihood promoted economic

[62] Wales, N. (1939). THE STORY OF THE RED ARMY: COMMANDER-IN-CHIEF CHU TEH. In *Inside Red China* (pp. 245–258). story, DOUBLEDAY, DORAN & COMPANY, INC.
[63] Tse-tung, M. (1937, September 29). Urgent tasks following the establishment of Kuomintang-Communist Co-operation. https://www.marxists.org/reference/archive/mao/selected-works/volume-2/mswv2_04.htm
[64] Milestones in the history of U.S. Foreign Relations - Office of the Historian. (n.d.). https://history.state.gov/milestones/1899-1913/chinese-rev
[65] Yat-Sen, S. (1924, August 24). *San Min Zhu Yi 【三民主義】 the three principles of the people by Sun Yat-sen.* http://www.taiwan-database.net/PDFs/WTFpdf21.pdf

modernisation and social equity by equalising land rights and regulating capital, effectively preventing landlord exploitation, class warfare, and national industrial monopolies. [66]



Sun Yat-sen, founder of the KMT
Source: Britannica

The Kuomintang's first victory was the Xinhai Revolution against the Qing (Manchu) Dynasty. However, long before the overthrow of the Manchus, it was evident that the Manchu dynasty had exhausted its 'heavenly mandate.' Their inability to protect the country against the invasions of the foreign Powers was, in the eyes of the Chinese, merely one of the signs of their unfitness to rule. [67] The Qing Dynasty had manifestly become weaker during its long tenure of power. By all the accepted signs, a successful rebellion was imminent. Seeing the rising anti-monarchist sentiment, Dr Sun Yat-sen secretly built the Kuomintang to revolt against the ruling dynasty. The party successfully overthrew the Manchus in 1911 in the Xinhai Revolution. [68]

Shortly after the creation of the Constitution of the Republic of China on 11 March 1912, the Premier Duan Qirui of the Beiyang government forced the dissolution of the National Assembly in 1917. Soon, Beijing was captured by the Beiyang government, leaving the constitution unratified. To counter this, 150 members of the dissolved assembly formed a separate government to protect the constitution.[69] Named the 'Southern Constitutional Protection Forces,' which comprised KMT loyalists, Hunanese troops, and old Guangxi and Yunnan warlord cliques, the army forced Duan to resign after the northern assault in Hunan. Subsequently, Duan was replaced by Feng Guozhang. However, in early 1918, the Zhili clique forces launched a counterattack against the capture of Hunan.[70] Following this mixed outcome, the southern forces (Old Guangxi clique and Yunnan clique) stripped Sun Yat-sen of his title and replaced him with a 7-person governing body. Sun formally resigned on 4 May 1918, and departed for Shanghai.[71]

[66] Woo, T. C. (1928). *The Kuomintang and the Future of the Chinese Revolution* . Internet Archive. https://archive.org/details/in.ernet.dli.2015.14187/page/n13/mode/2up
[67] Holcombe, A. N. (1930, January 1). *The spirit of the Chinese Revolution : Arthur N. Holcombe.*(p. 16) Internet Archive. https://archive.org/details/in.ernet.dli.2015.157174/page/n31/mode/2up
[68] Holcombe, A. N. (1930, January 1). *The spirit of the Chinese Revolution : Arthur N. Holcombe.* Internet Archive. https://archive.org/details/in.ernet.dli.2015.157174/page/n31/mode/2up
[69] Reinsch. (1917, December 4). *PAPERS RELATING TO THE FOREIGN RELATIONS OF THE UNITED STATES, WITH THE ADDRESS OF THE PRESIDENT TO CONGRESS.* U.S Department of State. https://history.state.gov/historicaldocuments/frus1917/pg_47
[70] U.S. Department of State. (1918). *Conciliatory policy… difficulties.* U.S.D of State. https://history.state.gov/historicaldocuments/frus1918/ch9,,subch1
[71] U.S. Department of State. (1920, April 8). *The Consul General at Canton (Bergholz) to the Secretary of State*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1920v01/d426



Premier of Beiyang Government, Duan Qirui
Source: WordPress

Operating on Sun Yat-sen's orders from Shanghai, General Chen Jiongming led the KMT-aligned Guangdong Army out of Fujian to attack the Old Guangxi clique. Chen recaptured Guangzhou, expelling the southern warlord junta and paving the way for Sun's return. Sun then dissolved the South Junta and was elected as the President of the Republic of China. [72]

Shortly after gaining the presidency, Dr Sun Yat-sen sent a Manifesto to Foreign Powers. Sun Yat-sen frames the Constitutional Protection War not as a regional conflict, but as an 'existential struggle between democracy and autocratic militarism.' He argues that the Peking-based government lacks legal legitimacy due to its unconstitutional dissolution of the National Assembly in 1917, a point supposedly conceded by Xu Shichang's reliance on discarded election laws. With northern militarists plundering the nation, waging internal warfare, and inviting foreign domination, national survival is threatened. Consequently, the legally elected National Assembly established a formal government in Guangzhou, electing Sun Yat-sen as President to restore constitutional rule and safeguard the Republic. [73] In January 1924, during the First National Congress of the Kuomintang held in Guangzhou, the First United Front was formally established, which was an alliance with the Chinese Communist Party, which stemmed from the Sun-Joffe agreement made prior in 1923.[74]



First National Congress of the Kuomintang
Source: Academy of Chinese Studies

Under the Boxer Protocol of 1901, which was signed after the suppression of the Boxer Uprising, China was compelled by foreign powers (United States, Britain, Japan, France, Italy) to dismantle its coastal fortifications and guarantee unrestricted naval and land communications between Peking, over which Duan Qirui had adequate power, and the sea. The treaty severely compromised Chinese sovereignty, effectively allowing foreign warships unhindered access to China's waterways. [75]

In March 1926, when warlord factions near Tianjin clashed, the aforementioned foreign powers enacted the 1901 Protocol and issued a joint ultimatum on 16 March 1926. They demanded the immediate removal of all naval mines and channel obstructions at Taku, which angered multiple unions and students.

[72] U.S. Department of State. (1921). *Election of Dr. Sun Yat-sen at Canton as "President of the Republic of China."* U.S. Department of State. https://history.state.gov/historicaldocuments/frus1921v01/ch21
[73] U.S. Department of State. (1921, May 14). *Manifesto to the Foreign Powers Issued by Dr. Sun Yat-sen*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1921v01/d285
[74] *The Sun-Joffe Agreement (1923)*. Chinese Revolution. (1923, January 26). https://alphahistory.com/chineserevolution/sun-joffe-agreement-1923/
[75] U.S, D. O. S. (1901). *U.S. Department of State – Papers Relating to the Foreign Relations of the United States (FRUS), 1901: Affairs in China*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1901China

These aggressive, foreign-imposed mandates sparked intense outrage among Chinese nationalists who viewed them as a direct violation of territorial integrity. On 18 March 1926, thousands of students, union members and political activists, including Li Dazhao, marched into the Provisional government headquarters in Peking to protest Duan Qirui's compliance with imperialist demands. Armed guards outside the chief executive compound fired directly into the crowd of non-violent demonstrators. Over 40 protestors were killed and more than 150 wounded; this massacre crippled the moral authority of Duan Qirui's government, alienating moderate political factions. [76]

The United Front was the key alliance driving the Northern Expedition. The Northern Expedition was a decisive military and political campaign launched by the KMT to overthrow the Beiyang warlord government in Beijing and unify China.

Originating from the party's base in Guangzhou, the expedition was driven by Chiang Kai-shek, who also orchestrated the Shanghai Massacre. Initially, the expedition advanced north through Hunan and Hubei to capture the strategic industrial centre of Wuhan and moved easily through Jiangxi, Zhejiang and Fujian towards Shanghai and Nanjing. [33]



Mao Zedong, helping KMT forces

Source: Britannica

However, as the NRA defeated major warlords like Wu Peifu and Sun Chuanfang, on 12 April 1927, the KMT allied with Shanghai's Green Gang, business elites and foreign concession authorities to disarm and execute the Communist union workers and Red Guards. This was known as the Shanghai Anti-Communist Massacre. Along with these acts, the NRA (National Revolutionary Army) entered Nanjing on 24 March 1927 to combat the radical left-wing elements who attacked foreign consulates, killing several Western and Japanese residents. American and British warships on the Yangtze River responded by shelling the city to cover the evacuation of foreign nationals. [77]

After consolidating power in Nanjing and purging communist elements, the NRA resumed the advance north in early 1928, allied with warlords like Yan Xishan and Feng Yuxiang. Despite a confrontation with imperial Japanese forces during the Jinan incident in May 1928, the NRA pressed on to capture Beijing in June. The expedition ended after Zhang Xueliang, ruler of Manchuria, pledged allegiance to the Nanjing government. This moment symbolised the start of the Nanjing Decade.[78]



[76] U.S, D. O. S. (1926). *Papers Relating to the Foreign Relations of the United States, 1926, Volume I*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1926v01/d434
[77] U.S, D. O. S. (1927). *Papers Relating to the Foreign Relations of the United States, 1927, Volume II*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1927v02
[78] U.S, D. O. S. (1928). *Papers Relating to the Foreign Relations of the United States, 1928, Volume II*. U.S. Department of State.
https://history.state.gov/historicaldocuments/frus1928v02

Alliance with Feng Yuxiang (left) and Yan Xishan (right)
Source: Academy of Chinese Studies

In January 1929, a military reorganisation conference took place in Nanjing. In this conference, Chiang proposed to downsize and disband provincial armies. The regional warlords that were allied with the KMT at the time took this to be a calculated move by Chiang Kai-Shek to dismantle their local power while preserving the NRA. This distrust in the KMT led to an armed conflict along the Long-Hai and Ping-Hai railways in Henan and Shandong, which involved around 1.3 million combatants.

Following the outbreak of a civil war, Yan Xishan and Wang Jingwei set up a rival government in Beiping which challenged Chiang's constitutional legitimacy. Although Feng Yuxiang's well-disciplined Guominjun army put up a tough front, Chiang used superior financial resources provided by Shanghai banking elites, modern air power, and control of maritime customs revenue to sustain the civil war.

On 19 September 1930, the KMT received reinforcements from the Nanjing government by Zhang Xueliang. Shortly after, the northern coalition collapsed as Yan Xishan fled to Dalian and Feng Yuxiang's army disintegrated. The outcome of the civil war led to Chiang Kai-Shek being crowned the supreme leader of China; however, China was left weak as the devastating conflict had enormous casualties and took a toll on the national treasury. [79]

Soon after, on 18 September 1931, an explosion took place on the South Manchurian Railways, which damaged Japanese property. This was used as a pretext to invade Manchuria by the Imperial Japanese Army. After considering the situation of the Republic of China's (ROC) military resources, which were dire, the ROC decided to act on a policy of non - resistance and reached out to the League of Nations, arguing that the invasion was a violation of the Kellogg-Briand Pact. After the attempt was proved ineffective, the League of Nations sent an inquiry commission chaired by Britain to settle the grievances. However, a puppet state of Manchukuo was already established by April 1932 when the Lytton Commission arrived, with the Japanese making the Lytton Commission largely obsolete. Following their arrival, in September 1932, the Lytton Commission published a report on Manchukuo, which influenced the decision made by the League of Nations not to recognise the puppet state and gave recommendations on establishing the status quo. [80]

The Mukden incident also led the NRA to crack down harder on anti-national elements, primarily communists. This is because Chiang Kai-Shek wanted no resistance from within China before engaging with the Japanese.[81] With the already ongoing anti-communist campaigns, which were proving to be unsuccessful, Chiang brought in German military advisors General Hans von Seeckt and General Alexander von Falkenhausen. With their help in setting up blockades, the KMT successfully smothered the routes used by the CCP to supply themselves with essentials. After being defeated by the fifth campaign, the CCP retreated towards Shaanxi.

[79] U.S, D. O. S. (1930). *Papers Relating to the Foreign Relations of the United States, 1930, Volume II*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1930v02/d26

[80] *Situation in Manchuria: Report of the Lytton Commission of Inquiry. | Library of Congress*. Library of Congress. (1932, September). https://www.loc.gov/resource/gdcwdl.wdl_11601/?sp=2

[81] The Policy of First Internal Pacification, Then External Resistance and the December 9th Movement | Academy of Chinese Studies - The Splendid Chinese Culture. (n.d.). https://chiculture.org.hk/en/photo-story/3159#:~:text=The%20root%20cause%20of%20"non%2Dresistance"%20came%20from,the%20Japanese%3B%20first%20internal%20pacification%2C%20then%20external



Alexander von Falkenhausen, German advisor
Source: Belgium WWII

In November 1936, the Japanese engaged in a proxy war with the help of the Mongol army, which was backed by the Japanese. The army invaded the Suiyuan province to establish a puppet borderland with China. General Fu Zuoyi launched a preemptive counteroffensive against the Mongol army. Soon, near the end of November, the Chinese forces routed the collaborator forces at the Battle of Bailingmiao. The victory shattered the myth of Japanese invincibility and proved that the Republican army can defeat Japan in open warfare. [82]

Emboldened by the victory against the Japanese and increasing interest in reducing civil conflict, Chiang approached Zhang Xueliang and Yang Hucheng to launch a sixth encirclement campaign against the CCP. Tired of the anti-communist sentiment, the two warlords arrested Chiang on 12 December. [49]



Chiang Kai-shek, arrested by his own men
Source: The China Project

Soon after, the KMT and CCP entered negotiations for peace, which ended on 25 December 1936 with the release of Chiang Kai-Shek. The outcome of the negotiations resulted in the Second United Front. [83]

Regional Warlords

Following the immediate death of Yuan Shikai, who was the first president of the Republic of China (ROC), the Beiyang government reached a breaking point, and at least 10 major warlords came to power, all high-ranking officers in the Beiyang Army. The Zhili Clique emerged as one of the preeminent military factions derived from the Beiyang Army in 1916. This faction is named after the Zhili Province, and they controlled the internationally recognised government for the majority of the early 1920s, which positioned themself as the legitimate sovereign representative for the ROC in diplomatic forums, including the League of Nations. The Zhili Clique was unique for its utilisation of constitutional frameworks to legitimise their military campaigns.

The Zhili Clique had multiple leaders; the most prominent ones were General Cao Kun and his primary military specialist, General Wu Peifu. General Wu Peifu heavily militarised the central government and violently suppressed the organised labour movement, including the

[82] U.S. Department of State. (1936). *Chapter I: January 1–April 15, 1936*. U.S. Department of State. https://history.state.gov/historicaldocuments/frus1936v04/ch1
[83] Tse-tung, M. (1937c, September 29). *URGENT TASKS FOLLOWING THE ESTABLISHMENT OF KUOMINTANG-COMMUNIST CO-OPERATION*. Urgent tasks following the establishment of Kuomintang-Communist Co-operation. https://www.marxists.org/reference/archive/mao/selected-works/volume-2/mswv2_04.htm

suppression of the 1923 Beijing-Hankou Railway Strike, which alienated the working class.

The Guangxi Clique was commanded by the strategic partnership of Generals Li Zongren and Bai Chongxi and operated strict civil discipline and militarised modernisation. The Guangxi commanders often challenged Generalissimo Chiang Kai-shek's attempt at absolute centralisation by advocating for a federalised provincial autonomy rather than being under a singular central autocracy. Meanwhile, the Anhui Clique under the leadership of General Duan Qirui briefly dominated the Beiyang government. General Lu Yongxiang worked directly under General Duan, and he served as the Military Governor of Zhejiang Province and maintained absolute administrative and military control over the districts of Shanghai until 1924.[84]

Even though the Shanghai municipality is geographically located within Jiangsu Province, General Lu forcefully maintained it under Anhui rule, which very often led to conflicts with the Zhili Clique governing Jiangsu Province. This dispute culminated in a military conflict fought directly in the suburbs of Shanghai. This conflict severely threatened the territorial integrity of the municipality, forcing the SMC to mobilise the Shanghai Volunteer Corps and request naval deployments to secure the borders of the International Settlement. The eventual defeat of the Anhui Clique resulted in rapid destabilisation of the local Chinese municipal government, initiating a period of constantly shifting warlords that prevented any unified political administration before the Nationalist government in 1927.

Economic Dimension

The Fabi System

Following the cessation of the First Opium War in 1842, the forced opening of Chinese Treaty ports rapidly established Shanghai as the primary conduit for international trade and foreign capital. During this period, China lacked a unified national currency, instead relying on a highly decentralised and volatile silver standard. Initially, all commercial transactions in Shanghai were calculated using the Tael (Liang), which is a unit based on the weight and purity of a physical silver bullion (Sycee). The lack of a standard weight for the Sycee complicated all domestic and international commerce passing through Shanghai. To consolidate economic authority, the Nationalist government in Nanjing implemented Fei Liang Gai Yuan (abolish the tael, establish the dollar) in April of 1933.[85]

This standardised the silver dollar (yuan) as the official medium of exchange, centralising the minting process while dealing a blow to the traditional Qianzhuang (banks) in Shanghai and elevating Western-style Chinese banks. This standardisation of the silver dollar briefly stabilised Shanghai's commerce, but external geopolitics and economic factors triggered a financial crisis. The U.S. Silver Purchase Act (1934) was an effort to inflate the price of domestic agricultural products. The United States Congress passed this act, authorising the U.S. Treasury to aggressively purchase silver, which severely drove up the price of silver.[86] As Chinese currency was backed by the price of physical silver, this sudden spike in price made the metal far more valuable abroad than as a currency in China. The physical outflow of silver restricted

[84] University of Hawai'i Press. (n.d.). *General Lu Yongxiang* . China's Narco-Economy and the Guomindang, 1924–1937. https://www.researchgate.net/publication/335389113_Opium_State_and_Society_China's_Narco-Economy_and_the_Guomindang_1924-1937
[85] Research Bureau, People's Bank of China. (2023, August 3). Fei Liang Gai Yuan. http://www.jryj.org.cn/EN/abstract/abstract1210.shtml
[86] U.S. Department of State. (n.d.-s). The U.S. Silver Purchase Act of 1934. https://history.state.gov/historicaldocuments/frus1934v03/d335

the money supply inside China, which subjected Shanghai to acute deflation.

Property values within the International Settlement and the French Concession experienced sharp declines while interest rates escalated. Facing complete economic collapse and instability in financing the national military, Finance Minister H.H. Kung and T.V. Soong orchestrated a radical overhaul. On 3 November 1935, the Nationalist government issued the Currency Decree, officially abandoning the Silver Dollar.[87] All citizens, corporations, and provincial authorities were legally mandated to surrender their physical silver holdings to the central government in exchange for paper notes. These newly issued fiat paper notes were designated as Fabi (legal tender).

Only three government-controlled institutions were authorised to issue the Fabi, which were the Central Bank of China, the Bank of China, and the Bank of Communications.[88] To maintain international confidence, the Fabi was anchored to the British Pound Sterling and the U.S. Dollar.[89] The Chinese government also maintained foreign currency reserves to stabilise the exchange rate. This transition to the Fabi system halted the deflationary spiral in Shanghai, leading to a robust industrial recovery. The Purchase Act of 1935 stripped Shanghai banking of its most potent leverage, which was control over the physical silver holdings. The Nationalist government in Nanjing subjugated the previously autonomous Shanghai sector under strict state control, which helped integrate the city's wealth into national defence.[90]

Socio-Humanitarian Dimension

Before 1937, the vast majority of China's population resided in rural provinces that had all been devastated by the Warlord Era. Rural communities endured a vicious cycle of taxation, compulsory military service, and commandeering of agricultural fields by regional warlords. For countless farming families, the loss of their land to local warfare was a daily occurrence. Other than local warfare, natural disasters were also a major cause of internal displacement; specifically, the catastrophic 1931 Yangtze River floods created a continuous migration of civilians to seek refuge and basic survival.[91]

The city of Shanghai was divided into the foreign-administered International Settlement and the French Concession, where expatriate diplomats and wealthy merchants enjoyed unprecedented civic modernisation and commercial infrastructure. On the outside of these enclaves in Chinese-administered districts like Zhabei and Nanshi, the reality was bleak. Migrant workers were severed from their traditional family networks and packed into extremely dense housing (Shikumen Slums), which raised serious concerns about the inhumane living conditions they were forced to live in and work in. The human cost of Shanghai's textile and manufacturing industries was very high, and the workforce heavily relied on women and young children working nearly 14 hours a day in highly hazardous conditions with negligence of basic human needs.[92] To fund regional armies, both warlords and organised crime syndicates heavily

[87] Habegger, J. (n.d.). The Currency Decree. https://fee.org/articles/origins-of-the-chinese-hyperinflation/
[88] U.S. Department of State. (n.d.-n). Authorised banks to distribute Fabi. https://history.state.gov/historicaldocuments/frus1935v03/d613
[89] U.S. Department of State. (n.d.-o). Connection for Yuan the U.S. Dollar. https://history.state.gov/historicaldocuments/frus1935v03/d616
[90] *US pressure on China: Silver flows, deflation, and the 1934 Shanghai Credit Crunch*. Effect of Silver Purchase Act on Shanghai. (n.d.). https://www.sciencedirect.com/science/article/abs/pii/S1043951X07000466
[91] Houston, Fr. J. (n.d.). The Chinese flood of 1931. https://columban.org/magazine/chinese-flood-1931
[92] Bianco, L., Editions Gallimard, & Board of Trustees of the Leland Stanford Junior University. (1971). *Origins of the Chinese Revolution 1915-1949* (M. Bell, Trans.).

incentivised the illicit opium trade, which targeted the urban lower class, creating a public crisis that destroyed families and increased poverty.[93]

GEOGRAPHY

Central Sector: Urban Shanghai

The central sector encompasses the densely populated urban core of the Shanghai municipality. It is divided between Chinese - administered districts such as Zhabei, Hongkou, Nanshi, and the sovereign-exempt foreign enclaves of the International Settlement and the French Concession. The urban layout of Shanghai is extremely dense, featuring a maze of narrow residential networks, heavily industrialised manufacturing mills and critical railway depots. The building of reinforced concrete architecture, particularly the modern financial structures along the Bund, inherently neutralises conventional offensive capabilities. These structures act as a formidable defensive fortress, degrading the effectiveness of aerial and long-range artillery, forcing combatants into urban warfare. This sector is bisected by the Huangpu River and Suzhou Creek. The Suzhou Creek constitutes a tactical obstacle; its steep embankments and bridge crossings funnel into lethal choke points.[94]

Northern Sector

The Yangtze Estuary and Maritime boundaries of the Northern Sector encompass the expansive Yangtze River Delta. Volatile sandbars and shallow hydrography within the estuary restrict the operational mobility of deep naval vessels. The confluence of the Huangpu River and the Yangtze estuary at Baoshan constitutes a critical choke point. Naval assets attempting to breach this boundary are vulnerable to coastal artillery and minefields. Infantry troops face severe logistical and environmental hazards along the shoreline. The waterlogged mudflats and unstable coastal terrain severely impede on-land mobility, which frequently leaves troops exposed in marshland devoid of armoured support. Navigating the dense network of small minor tributaries that connect the Yangtze to Suzhou Creek functions as a natural defensive barrier, which further bottlenecks advancing troops to narrow water channels.

Eastern Sector

The Eastern Sector encompasses the maritime perimeter bordering the East China Sea. The lack of natural terrain elevation or vegetation offers zero concealment for landing troops, leaving them exposed to artillery and airstrikes. Additionally, extreme tidal fluctuation presents acute logistical hurdles for amphibious operations. This sector is subject to highly volatile weather, which poses a constant threat to naval stability and possesses the capacity to suddenly sever seaborne supply chains.

Southern Sector

The southern sector encompasses the Hangzhou Bay maritime boundary, bordering Zhejiang Province and incorporating Shanghai's coastal districts like Jinshan and Fengxian. The Hangzhou Bay's extreme tidal range creates powerful currents and tidal bores, making it extremely dangerous for maritime transport to traverse. Shallow coastal water makes it nearly impossible for heavy warships to approach close to the shore, making close-range naval support obsolete.

[93] Mccord, Edward. (2009). The Shanghai Green Gang: Politics and Organized Crime 1919–1937. By Brian G. Martin. [Berkeley:University of California PressISBN0-520-20114-0.]. The China Quarterly. 148. 1385-1386.
[94] Woodhead, H. G. W. (1914, January 1). *The China Year Book*. Internet Archive. https://archive.org/details/chinayearbook1914shan/page/n17/mode/2up

Western Sector

The western sector connects Jiangsu Province (Kunshan and Suzhou) and Zhejiang Province (Jiaxing). Natural defences include an extensive system of rivers, creeks, and man-made canals, making up the major natural obstacle preventing any kind of armoured advance or mechanised penetration, as such terrain makes it difficult for any kind of wheeled/tracked transport, apart from limited movement possible along artificial embankments and raised highways across the many bridges existing.